

Integrated Reporting Working Group Update

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Agenda Item 13-A

Agenda

- Integrated Reporting WG Paper - next steps
- Feedback Statement IIRC
- Next steps - Integrated Reporting WG

Integrated Reporting WG Paper - next steps

- Publication after the IIRC releases its feedback statement
- Press release, tweet and posting on website, including link to project page
- Liaison with the IIRC

Feedback Statement IIRC: Overview of Feedback and Call for Action (1/3)

- 63 responses: majority professional bodies (22) and professionals in the field (20), 7 preparers, 2 investors, 6 regulators/stock exchanges/standard setters, 2 academics and 4 mixed collaborations
- Acknowledges that independent external assurance enhances credibility and trust
- ...but is only one of the range of mechanisms that organizations use to enhance credibility and trust

Feedback Statement IIRC: Overview of Feedback and Call for Action (2/3)

- Assurance needs time to evolve and mature with <IR>
- Different views on priority for development of assurance
- Important to continue consultation with stakeholders
- Interim suggestions included:
 - Pursue alternative engagements, e.g. assurance readiness review, summary insight in maturity of the reporting process
 - Increase availability of suitably skilled assurance practitioners
 - Influence assurability of content and understanding subject matter, criteria

Feedback Statement IIRC: Overview of Feedback and Call for Action (3/3)

- General support: development of further guidance/standards
- Many: existing standards (ISAE 3000, Code of Ethics & ISQC1) can be used as basis for assurance on <IR> and help maintain consistency of language and approach.
- Other standards mentioned: AA1000 and ISO
- Different views: whether to develop (in time) a new standard for assurance on <IR>, or a broader focus/ guidance to add to ISAE 3000
- In the interim: some form of guidance would be helpful

Other developments

- WBCSD (preparers): separate WG exploring assurance and developing a best practice guide and other guidance on assurance
- GRI Roundtables on assurance
- A few national auditing standard setters have set up committees to further explore the needs for guidance on assurance
- IIA: Different publications on enhanced role of internal auditors
www.theiia.org
- IFAC: Different publications, including on integrated governance
www.ifac.org/global-knowledge-gateway

Next Steps - Integrated Reporting WG

- Analyze feedback to the IIRC in more detail
- Continue dialogue on assurance and identify the technical assurance issues that need broader consultation
- Further research:
 - potential demand for activities to enhance the credibility of integrated reporting and other emerging aspects of external reporting
 - how assurance practitioners and NSS are addressing demands
 - how the IAASB's existing International Standards might be applied and identify any gaps or areas that need to be updated



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